Company Registration No. 02448457 (England and Wales)

Mercedes-Benz

MERCEDES-BENZ UK LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2024

MERCEDES-BENZ UK LIMITED

COMPANY INFORMATION

Directors	M Breitschwerdt	
	W Pipperger	
	O Reppert	(Appointed 1 March 2024)
Secretary	J Lipman	
Company number	02448457	
Registered office	Delaware Drive Tongwell Milton Keynes England MK15 8BA	
Auditor	PricewaterhouseCoopers LLP Exchange House Midsummer Boulevard Milton Keynes Buckinghamshire England MK9 2DF	

MERCEDES-BENZ UK LIMITED

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The directors present the strategic report for Mercedes-Benz UK Limited (the "Company") for the year ended 31 December 2024.

Principal Activities

On 31 December 2024, the principal activity of the Company was that of importing, wholesale, and distribution of Mercedes-Benz Cars and Vans products in the United Kingdom.

Strategic Objectives

The automotive industry is currently in the middle of a significant transformation. Moreover, the world as a whole is changing at an increasingly dynamic rate. Sustainability and, in particular, environmental and climate protection are among the most urgent issues of our time. Digitalisation and shifts in global trade are changing the business and the Company. We firmly believe that individual mobility will remain a basic human need, and it will have to be provided in an energy-saving, low-emission and environmentally compatible manner. As a Company, we also bear social responsibility. Not only do we face up to the challenges of the future; as the inventor of the automobile, we also want to set benchmarks for tomorrow's sustainable mobility.

Mercedes-Benz Group AG, MBGAG or the Group, continue to focus on the goal of building the world's most desirable cars, and be positioned as a pure play luxury car company. The Group is aiming to further increase structural profitability and take the lead in shaping the successful transformation to an emission-free and software-driven future. There is a focus on innovative and forward-looking technologies and safe high-quality vehicles that fascinate and excite. This will be on our core business and improving the customer experience even more strongly than before, while utilising the potential of digitalisation. Sustainability, integrity and diversity serve as the foundation of the strategy. Everyone's actions are becoming increasingly important with regard to climate change.

As a result of the above the Company has set targets and objectives at a local level which align with the Group strategy.

Review of the business

The previous year saw the effects of inflation and increases in cost of living which significantly influenced consumer and business confidence and undoubtedly affected the market. This continued into 2024 and with the impact of the Government's mandatory targets on the sale of Electric Vehicles meant it was a challenging year; however the overall results show growth in wholesales, revenue and profitability; two of which are considered to be key performance indicators as set out below.

Working capital balances have remained stable particularly inventory being in line with 2023; however there has been an increase in provisions particularly the buyback and warranty provisions. This is due to adverse market value movements and increased costs.

In addition, during the year the acquisition of Mercedes-Benz Parts Logistics Limited was completed and therefore, the results shown below for 2024 now include sales of parts to customers previously served directly by that entity.

The overall UK car market improved with a 2.6% increase in registrations against 2023. The Company saw an increase of 17% in registrations versus 2023. The overall market share held by the Company for Cars increased slightly to 5.3% (2023: 4.6%).

The sales mix in 2024 resulted in profit before taxation for the year of £101,664k (2023: £62,774k) resulting in net assets at the year end of £301,987k (2023: £237,108k).

The Company's key performance indicators for the year are summarised below.

Wholesales (units)		**Registration (units)**		**Revenue (£m)**	
2024	**2023**	**2024**	**2023**	**2024**	**2023**
128,673	107,896	129,801	110,603	4,839	4,489

Financial risk management objectives and policies
Management are continuously assessing the Company's exposure to risks, and have concluded the below risks to be the key risks in relation to the Company and its ongoing operations.

Market risk
Crucial to the continued success of the automotive market is the development of Electric Vehicles (EVs) and the infrastructure needed to support these. With sizeable fines imposed for manufacturers missing their CO2 targets, which become more stringent every year, the significance of EVs within the Company's product portfolio will continue to grow. One of the key factors is that we are dependent on the Government and Charge Point Operators (CPO's) to increase the availability of charge points to enable our customers to make the change to electric. Management are constantly reviewing market trends, particularly in light of the Government's announcement of no Internal Combustion Engine (ICE) sales from 2035 onwards.

The cost of living crisis in the UK is having an effect on the disposable income in people's pockets, and on their confidence in the economy as well as an increase in interest rates. The directors are continuously reviewing market conditions, and the Company's position in the market, to ensure ongoing competitiveness and demand.

Residual value risk
The Company is exposed to fluctuations in demand in the used vehicle market, specifically changes in market values due to its involvement in sale and repurchase arrangements. The Company employs a specialist team to continually monitor market values, with a reporting line to the Directors. A committee meets on a quarterly basis to set guaranteed repurchase prices that are in line with expectations of market movements over the corresponding period. In addition the management of the Finance Department meet on a quarterly basis to understand any significant financial risk and ensure this is appropriately reflected in the financial statements.

Cash flow risk
The Company is not significantly exposed to changes in foreign currency exchange rates or fluctuating interest rates as it is a wholly owned subsidiary, financed entirely by its ultimate parent undertaking and does not make material sales or purchases in any currency other than Sterling.

Legal Risk
The most significant to us relates to the ZEV (Zero emission vehicle) mandate regarding the CO2 target which is already covered in the market and climate risk. Other changes in legislation generally refer to extra reporting and are well signposted.

It is widely publicised that there are multiple class actions against automotive manufacturers, in relation to diesel car emissions. The Company is subject of such a class action.

Competition risk
Market trends are continually being analysed, as well as significant worldwide research and development into our products ensuring they are on the cutting edge of technology.

Credit risk
The Company's principal financial assets are trade and other receivables, including the cash-pooling account held on a group level.
Credit risk is mitigated as the majority of Cars are paid in advance and a majority of Vans are sold to another group company rather than directly to end customers. That company bears the credit risk on the sale to the ultimate customer.

Credit risk on direct sales of parts to the dealer network and vehicles to fleet customers is mitigated as exposure is spread over a large number of counterparties and customers, who are also subject to rigorous monitoring.

Liquidity risk
The Company's exposure to liquidity risk is minimised as it is a wholly owned subsidiary, financed entirely by its ultimate parent undertaking.

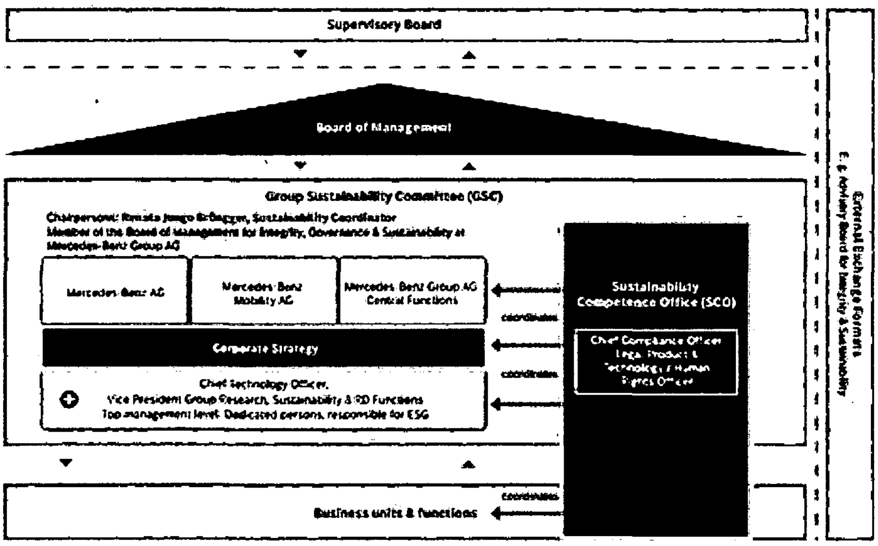
Non-financial and sustainability information statement

The below climate-related financial disclosures are presented in line with The Climate-related Financial Disclosure Regulations 2022 to report on material climate-related matters and their impact on Mercedes-Benz UK Limited.

Climate risk

a) Governance and risk management

The Company, as a part of Mercedes-Benz Group AG receives advice and direction from the Group Risk Management Committee (GRMC), chaired by members of the board of management of Mercedes-Benz Group AG. They are responsible for the continuous improvement and effectiveness of the risk management system in place, which is used for the identification, assessment and management of all risks, including those relating to the climate. Additionally, the Mercedes-Benz Group Sustainability Committee (GSC) meets quarterly to manage risks and opportunities including those relating to the climate, which feed into the risk management system which is supervised by the GRMC. Once assessed, risks are then submitted for decisions to be made by the Mercedes-Benz Group board.



On a local level, responsibility for the climate strategy and climate risks related to the Company's head office and its on-site operations sit with the Head of Corporate Real Estate within Mercedes-Benz UK. All risks are shared with the CFO and other management on a regular basis. Climate related risks are regularly reviewed and internally monitored alongside input from external advisors.

Local supply chain related climate risks are handled on a department level, with assistance from procurement and with regular reporting to the wider management team.

b) Identification, assessment and management of climate-related risks and opportunities

Across Mercedes-Benz Group AG, climate related risks and opportunities are defined as conditions, events or developments whose occurrence may have an actual or potential impact on operations, financial results, or reputation of the Group including the Company. Climate-related risks are identified and managed within the Company and by Mercedes-Benz Group AG in a way that is consistent with our values, protecting our performance, people and stakeholders.

Risks are identified and assessed across Mercedes-Benz Group AG and the Company in line with risk management policies, with risks recorded and monitored on the Group risk management system on a regular basis. Risks reported in the system receive input and steering from the GRMC.

Risks are assessed according to a local materiality level, encompassing all risks that are significant to the operations or finances of the Company, rather than just those of the Mercedes-Benz Group AG. Materiality is considered in both financial and reputational terms. This therefore includes risks and opportunities which have value that would have a notable impact on the financial statements of the Company, but also those which would have a significant positive or negative impact on the Company's longstanding reputation for responsibility and compliance.

c) Description of how processes for identifying, assessing and managing climate-related risks are integrated into the overall risk management process of the business and impact on strategy

In order to identify business risks and opportunities at an early stage, and to assess and manage them actively, Mercedes-Benz Group AG applies appropriate and effective management and control systems, which have been brought together in an overall risk and opportunity management system. The Company is integrated into this process but also identifies and manages local climate related risks and opportunities.

The directors and management of the Company specifically identify climate risks and opportunities and ensure they are reflected in the strategy of the Company, as detailed here.

Risk Type	Risk / Opportunity	Time Frame	Actual / Potential impacts on business model and strategy	Risk/opportunity management
Transition	Regulatory changes relating to climate protection and air quality, including ZEV mandate	Medium term (5 - 10 years)	Regulations requiring changes in the vehicle production and sales mix, in order to meet emission, electric vehicle, or other climate related targets. Impact on sales volumes, forecasting and planning, profitability levels, and sales/marketing focus. Non-compliance will likely result in financial penalties to be paid by the Company or Group, and brings additional reputational risks.	Progress towards achieving targets and consequences of non-compliance are proactively monitored and continuously communicated to employees to achieve buy-in at all levels or the organisation. Government legislation changes, and their impacts on the Company, are monitored and managed with internal experts and industry bodies. These changes are subsequently integrated into the planning process. Further government focus on the sale of electric vehicles may result in more incentivised consumers, and result in an acceleration in the development of the Group into a leading manufacturer of luxury electric vehicles.
Transition	Range of zero emission vehicles	Medium term (5 - 10 years)	The changing attitudes to and regulations on climate risk offer an opportunity for the Company to produce a range of customer focused, technologically advanced zero emission vehicles. Failure to adapt to the changing market creates a risk of falling behind competitors.	The Company monitors local market trends and customer feedback, which forms part of the Mercedes-Benz Group AG product development cycle. In this way, the Company is able to bring to market a range of desirable and cutting edge vehicles.
Transition	Residual value risks and opportunities	Short term (1- 5 years)	Changes in the market values of used vehicles are reflected in residual value setting, changing the cost to the end customer and the risk to the Company at the end of the contract. Consumer concern about electric vehicles (long term battery health) or internal combustion engine vehicles (changing legislation) can reduce residual values, with improving battery safety and longevity helping to increase those values.	Communicating and demonstrating the long term battery health of electric vehicles, and the improving efficiency of internal combustion vehicles can assist in improving the perception and profitability of those used vehicles into the longer term.

Risk Type	Risk / Opportunity	Time Frame	Actual / Potential impacts on business model and strategy	Risk/opportunity management
Transition	Personnel risks and opportunities	Medium term (5 - 10 years)	Changing regulatory requirements and physical climate developments will require new and emerging skills in the workforce The Company will need to remain a competitive employer to attract and retain these skilled personnel	Employees are provided and encouraged to take wide-ranging training opportunities to ensure the Company's skillset remains up to date and able to handle future developments. The Company aims to maintain and emphasise its reputation for compliance and responsibility on climate topics, assisting in building current and prospective employee satisfaction in the Company's activities and goals.
Physical	Local supply chain disruption risk	Long term (10 years +)	The Company could be exposed to disruption because of physical climate events which could have further impacts on sales and business operations. In particular focus for the Company would be transport and storage services, where changes in legislation or in climate conditions could result in strategy changes or direct impacts on supplier operations.	Mercedes-Benz UK has a diverse portfolio or suppliers, which helps limit the possible impacts. The Company also conducts regular supply chain monitoring, which increasingly includes review of supplier resilience and long term climate strategy. Overall, the Company's supply chain does not have any significant or unavoidable exposure to long term physical climate events.
Physical	Global supply chain disruption risk	Long term (10 years +)	The Company relies on the wider Mercedes-Benz Group to manufacturer and transport its products to the Company. Increasing competition for increasingly scarce and in demand raw materials could lead to increasing prices or product shortages. Unavailability of certain products due to raw material shortages, potentially due to climate related disasters, regulations, or political unrest, could impact availability of products the Company is able to sell, thereby potentially impacting sales mix and adherence to climate related targets	The Company works with Mercedes Benz Group AG to assess the supplier network and the risk of disruption in the event of climatic events or increased climate related regulation. The Group includes emissions in its criteria for awarding contracts, and all new suppliers sign up to the terms in the "Ambition Letter". The Group sent a letter of intent to suppliers of production materials in the form of the "Ambition Letter" concerning net carbon-neutral products in 2020, with suppliers assuring the business that it will supply only carbon neutral products from 2039 or earlier.

Analysis of the resilience of the business model and strategy of the Company, taking into consideration of different climate-related scenarios

Mercedes-Benz Group AG have considered the resilience of the Group's business model in a variety of scenarios including the 'Net Zero Emissions by 2050 Scenario' which is consistent with limiting the global temperature rise to 1.5 °C (with at least a 50% probability), and the 'Sustainable Development Scenario' of the International Energy Agency'.

The outputs of this scenario analysis are included in the risk management system, and therefore are a key element in the Company's own climate risk assessments, including the risk/opportunity table above.

Targets:

Target	Description	Target	KPI	Target date
Full range of zero emission vehicles	The range of new Mercedes-Benz vehicles produced by the group will be fully electric and net carbon neutral by 2039. The Company's UK requirement is for 2035, which is aligned between the Company and Group.	100%	% of range that is fully electric	2035
Zero emission vehicle sales	The Company will aim to exceed all regulatory targets for zero emission vehicle sales and push for 100% of sales to be electric	80% Cars and 70% Vans by 2030 100% Cars and Vans by 2035	Electric vehicles sold as a % of total sales	2030 - 2035
Climate resilient and carbon neutral supplier portfolio	All suppliers will be in compliance with the "Ambition Letter"	100%	% of suppliers in compliance	2039

Streamlined Energy and Carbon Report (SECR)

As a group, Mercedes-Benz AG (MBAG) assume responsibility for the economic, ecological and social effects of our business activity. As a founding member of the UN Global Compact, we are committed to the Compact's ten universal principles, the United Nations' Sustainable Development Goals and the Paris Agreement on climate change.

Sustainability is part of the foundation of our Mercedes-Benz strategy and thus an integral part of our corporate strategy. We want to create permanent value for our stakeholders: our customers, employees, investors, business partners and society as a whole. This requires a culture of integrity and future-oriented cooperation with our workforce and our partners in industry, government and society at large. Diversity is our driving force for ideas, renewal and inventiveness, all of which we actively strive to achieve. A central sustainability management system enables the effective planning of ambitious goals and their implementation.

UK energy use and associated greenhouse gas emissions

The Company presents its annual energy usage and associated annual greenhouse gas emissions pursuant to the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018 ("the 2018 Regulations") that came into force on 1 April 2019.

Included in this report is the office site in Milton Keynes, as well as Company owned vehicles and personal vehicles used for business mileage.

The energy and carbon emissions report is aligned to the financial reporting year of 1 January 2024 to 31 December 2024.

Quantification and reporting methodology

The 2019 UK Government Environmental Reporting Guidelines and the GHG Protocol Corporate Accounting and Reporting Standard (revised edition) were followed. The 2024 UK Government GHG Conversion Factors for Company Reporting were used in emission calculations.

Electricity and gas consumption were based on usage reports from our utility partners, while mileage reports were used to calculate energy and emissions from fleet vehicles and employee business mileage. Gross calorific values were used except for mileage energy calculations as per Government GHG Conversion Factors.

The emissions are divided into mandatory and voluntary emissions according to the 2018 Regulations, then further divided into the direct combustion of fuels and the operation of facilities (Scope 1), indirect emissions from purchased electricity (Scope 2) and further indirect emissions that occur as a consequence of company activities (Scope 3).

Breakdown of energy consumption used to calculate emissions (kWh):

	2024	2023
Energy Type	**kWh**	**kWh**
Gas	5,400,602	6,021,853
Electricity	6,837,408	7,708,867
Transport fuel	4,919,552	3,821,755
	17,157,562	**17,552,475**

Breakdown of emissions associated with reported energy use:

		2024	2023
Emission Source		**tCO^2e**	**tCO^2e**
Scope 1	Gas	811	930
Scope 1	Transport – company vehicles	1,091	849
Scope 2	Electricity *	1,416	1,596
Scope 3	Business trip – transport fuel	18	17
		3,335	**3,392**

Intensity ratios:	**2024**	**2023**
Tonnes of CO^2e per million pounds of revenue	0.66	0.76
Tonnes of CO^2e per employee	4.34	5.95

* It is considered that the actual carbon tonnage for Electricity is nil due to the procurement of 100% renewable energy.

Intensity ratio

The intensity ratios are total gross emissions of CO^2e (metric tonnes) per million pound (£m) revenue and per employee. These financial metrics are considered relevant to the Company's energy consuming activities and provide a good comparison of performance over time and across different organisations and sectors.

Energy efficiency action during the current financial year

The impact of the Company on the environment, and its carbon footprint, are important issues to the Company and its management. Energy awareness is continuously promoted across the Company to ensure best wise use of resources, and improvements in processes and equipment are constantly undertaken where gains in efficiency can be won. During 2023, solar panels were installed in the car park, which has resulted in the drop in electricity usage seen above. In addition there is more ongoing temperature monitoring throughout the building which has reduced the gas usage at Tongwell.

Energy efficiency plans for the future periods

The Company is actively assessing the sources of its energy, the potential to use more renewable energy in its operations, and the potential to generate renewable energy on site. The fixed asset investment strategy for the future has energy efficiency at its core and we expect to see rapid and material improvements over the coming years.

Section 172 Statement

There is a requirement for Directors to consider long-term effects of decisions made on a wide stakeholder group and the environment in which the Company operates. On top of this, there is a clear requirement to consider the fair treatment of everyone associated with the Company.

Consequences of long term decisions

Naturally, the Directors take a long-term view in all their decision-making, and decisions are always made with the future goals of the Company in mind. The industry landscape is changing, and Directors decisions have to take into account the United Nations' Sustainable Development Goals. These include ever-improving working and living conditions across the World, as prioritising the electrification of our vehicles with a UK target to have a carbon-neutral passenger car fleet by 2030. By keeping these long term targets at the forefront of strategy decisions, the Directors ensure that products stay relevant and help secure the long term survival and success of the Company.

Employees

Our colleagues are the primary reason for the ongoing success of our business. The Company hosts regular Town Halls which include a Q&A at the end for employees to express opinions and ask questions. There are regular Company and team events for employees to attend as well as weekly communications sharing news across the Company. Employee engagement surveys are undertaken to ensure relevant improvements can be made and assistance programmes are available. The Company also has the colleague led 'We Are Sustainability Group' which is sponsored by the CFO, supported by Head of Corporate Real Estate and demonstrates further collaboration towards our company and environmental commitment.

Business relationships

Business relationships take a variety of forms including those with customers and suppliers. Customers are the core of a business for all members of staff. The Company puts the customer first and always acts in the interest of the customer above all else. The Directors also recognise the importance of supplier relationships in delivering excellence to our customers. The Company focuses on three key areas when fostering business relationships with suppliers; integrity, openness and respect and fosters this attitude in its employees through companywide training and the overarching culture of the Company.

Culture and community

The Directors recognise that they have an important role in ensuring that the desired culture is reflected in the values, attitudes, and behaviours demonstrated throughout the Company. The Directors have established respect, passion, discipline and integrity as the four core values. Within the Company there are a number of colleague-led culture theme groups; Feedback, Career Development, Purpose, Sustainability Inclusion and Laureus. A large part of Mercedes-Benz's corporate social responsibility consists of supporting socially beneficial projects, one of which is the Laureus Sport for Good Foundation. Laureus aims to help young people living in some of the most deprived areas to change their lives and get into education, training or employment. Laureus use the power of sport to reduce violence, discrimination and disadvantage.

Sustainability and environment
Sustainability is a crucial factor that the Directors recognise as influential in the worldwide corporate domain, particularly in the motor industry. This is driven by six key themes; Climate Protection & Air Quality, Resource Conservation, Liveable Cities, Traffic Safety, Data Responsibility, and Human Rights. The Company recognises three enablers for these themes, which focus on key stakeholder groups. Firstly, Integrity, which is achieved by strengthening trust and relationships by remaining compliant with laws and regulations. Secondly, People, the Company promotes diversity and equality as well as successfully allowing employees to address the challenges of a digital world. The final enabler is Partnerships, enabling a clear and reliable platform of communication, using what we call a 360^{o} process, which takes internal and external expectations into account. On a more local stage, Team Sustainability Group, championed by the Company's Directors, was initiated to spread sustainability awareness internally and identify what we as employees can do to reduce our carbon footprint and contribute to our global carbon neutral goals. Significant works have been undertaken at the Tongwell site which now has solar panel carports installed to generate electricity for the site and numerous electric car chargers. For more detail on the Company's position on sustainability, please visit the corporate website at: www.group.mercedes-benz.com/sustainability.

Reputation for high standard of business conduct
The Company's drive for sustainability is in part driven by the need to maintain the reputation of the business for high standards of conduct. The Company reviews and maintains clear frameworks, including its ethics principles and code of conduct, and ensures colleagues are kept up to date with regular training on these topics. In partnership with the ways the director is informed and monitors compliance with relevant governance standards, helps to ensure that decisions and the actions of the Company promote high standards of business conduct.

Acting fairly as between members of the Company
The main stakeholders identified by the Company are: customers, people, community, government and regulators, and investors/shareholders. In doing so, we lay out our strategy to maintain our reputation for a high standard of business conduct.

On behalf of the board

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W Pipperger
Director
Date: 30.09.2025

DIRECTORS' REPORT

FOR THE YEAR ENDED 31 DECEMBER 2024

The directors present the directors' report and audited financial statements for Mercedes-Benz UK Limited for the year ended 31 December 2024.

Results and dividends

The results for the year are set out on page 19.

During the year the Company did not pay a dividend (2023: £nil).

Movements in shareholders' funds are set out in the Statement of Changes in Equity.

Directors

The directors who served during the year and up to the date of signing the financial statements, unless otherwise stated, were:

M Breitschwerdt	
G Savage	(Resigned 31 March 2024)
W Pipperger	
O Reppert	(Appointed 1 March 2024)

Qualifying third party indemnity provisions

The Company has made qualifying third party indemnity provisions for the benefit of its directors which were made during the year and remain in force at the reporting date.

Supplier payment policy

The Company's policy is to settle terms of payment with suppliers when agreeing the terms of each transaction, ensure that suppliers are made aware of the terms of payment and abide by the terms of payment. Details on the Company's payment practices can be found in its published payment practice reports available at https://check-payment-practices.service.gov.uk

Employees

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the Company continues and that the appropriate training is arranged. It is the policy of the Company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Employees are encouraged to be involved in the company's performance through an employee share incentive plan which is included in the annual benefits window.

Donations

The Company made charitable donations of £185k (2023: £191k). The Company made £nil (2023: £nil) political donations.

Corporate Governance

Under the Companies (Miscellaneous Reporting) Regulations 2018, the Company is required to report on its governance arrangements. The Company's corporate governance code, which follows the wider policies of the listed Group it is a wholly owned subsidiary of, has been described below using the six Wates principles.

Purpose and leadership
In line with the Mercedes-Benz Group; MBUK conducts its business in accordance with Group-wide standards that go beyond the requirements of the law and the UK Corporate Governance Code. Mercedes-Benz Group is convinced that only those who act in an ethically and legally responsible manner remain successful in the long term – this is especially true in times of upheaval and change. Hence, integrity and compliance are very important to the Mercedes-Benz Group. In order to achieve long-term and sustainable corporate success on this foundation, it is the goal of the Mercedes-Benz Group to ensure that its business operations are in harmony with the interests of the environment and society. As one of the world's leading automakers, the Mercedes-Benz Group also wants to be at the forefront when it comes to sustainability. The Company defines the most important principles in its Code of Conduct, which provides orientation for all employees of Mercedes-Benz Group AG and the Group, and assists them in making the right decisions, even in difficult business situations.

Board Composition
The objective of the profile of requirements for the Board of Management is to ensure that the Board of Management has excellent leadership skills and that its composition is as diverse and complementary as possible. The Board of Management as a whole shall possess the knowledge, skills and experience necessary for the proper performance of its duties and at the same time embody the company's management philosophy on the basis of the various personal backgrounds and skills of its members. The key factor for the decision on filling a specific board position is always the interest of the company, taking any and all circumstances of the individual case into account. The Company considers competence profiles and diversity concepts with regard to aspects such as age and gender. The profiles of requirements are reviewed annually and also serve as a basis for long term succession planning.

Directors' Responsibilities
The Group Board of Management manages Mercedes-Benz Group AG and the wider Group, in consideration of the interests of the shareholders, the employees and the other stakeholders, with the goal of sustainable added value. With the approval of the Supervisory Board, it determines the strategic orientation of the company, which also takes into account long-term economic targets and environmental and social targets and objectives. As a member of the Mercedes-Benz Group, the Company's directors adopts these strategic objectives and applies local consideration when making decisions.

Opportunity and Risk
The directors regularly meet to discuss the strategic plans for the company. This will align with Mercedes-Benz Group AG and the Group's strategy including the three principles: guided by sustainability integrity and diversity, driven by an ambitious team, and accelerated by data and artificial intelligence (AI).

Remuneration
The Mercedes-Benz Group remunerates work performed in all companies worldwide according to the same principles. The global Corporate Compensation Policy, which applies to all employee groups, sets out the framework conditions and minimum requirements for the design of the remuneration systems. The Group also takes into account the conditions of the local markets and benchmark data. Personal characteristics of the employees are not taken into account.

Stakeholder relationships and engagement
As mentioned above, the directors consider the Company's stakeholder relationships, ensuring all decisions made are in their interests. Further details can be found in the S172 report.

Strategic report
The Company has chosen in accordance with Companies Act 2006, s. 414C(11) to set out in the Company's strategic report information required by Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, Sch. 7 to be contained in the Directors' report. The information included relates to future developments, financial risk management and a statement summarising how the directors have had regard to the need to foster the company's business relationships.

Statement of disclosure to auditor

Each director in office at the date of approval of this annual report confirms that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- the director has taken all the steps that he / she ought to have taken as a director in order to make himself / herself aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of section 418 of the Companies Act 2006.

Directors' confirmations

The directors consider that the Strategic Report, the Directors' Report and accounts, taken as a whole, is fair, balanced and understandable and provides the information necessary for shareholders to assess the company's position and performance, business model and strategy.

Independent auditors

The auditors, PricewaterhouseCoopers LLP, have indicated their willingness to continue in office and a resolution concerning their re-appointment will be proposed at the Annual General Meeting.

On behalf of the board

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W Pipperger

Director

Date: 30.09.2025

Delaware Drive
Tongwell
Milton Keynes
Buckinghamshire
MK15 8BA

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2024

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 101 "Reduced Disclosure Framework", and applicable law).

Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- state whether applicable United Kingdom Accounting Standards, comprising FRS 101 have been followed, subject to any material departures disclosed and explained in the financial statements;
- make judgements and accounting estimates that are reasonable and prudent; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are also responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006.

Independent auditors' report to the members of Mercedes-Benz UK Limited

Report on the audit of the financial statements

Opinion

In our opinion, Mercedes-Benz UK Limited's financial statements:

- give a true and fair view of the state of the company's affairs as at 31 December 2024 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, including FRS 101 "Reduced Disclosure Framework", and applicable law); and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements, included within the Annual Report and Financial Statements (the "Annual Report"), which comprise: the Statement of financial position as at 31 December 2024; the Income statement and Statement of changes in equity for the year then ended; and the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under ISAs (UK) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, which includes the FRC's Ethical Standard, as applicable to other entities of public interest, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

To the best of our knowledge and belief, we declare that non-audit services prohibited by the FRC's Ethical Standard were not provided.

We have provided no non-audit services to the company or its controlled undertakings in the period under audit.

Conclusions relating to going concern

Our evaluation of the directors' assessment of the company's ability to continue to adopt the going concern basis of accounting included:

- Review of management's assessment of the going concern risks faced by the business;
- Review and challenge of forecast profit and cash flows for a period of at least 12 months from the signing of the financial statements including consideration of plausible downsides and sensitivities;
- Review of post year end performance;
- Assessment of intra-group facilities available to the company over the going concern assessment period;
- Review of the support letter obtained from the ultimate parent company, Mercedes-Benz Group AG; and
- Consideration of the automotive market and economic factors which may have bearing on the assessment.

Independent auditors' report to the members of Mercedes-Benz UK Limited (continued)

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

However, because not all future events or conditions can be predicted, this conclusion is not a guarantee as to the company's ability to continue as a going concern.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Strategic report and Directors' report, we also considered whether the disclosures required by the UK Companies Act 2006 have been included.

Based on our work undertaken in the course of the audit, the Companies Act 2006 requires us also to report certain opinions and matters as described below.

Strategic report and Directors' report

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic report and Directors' report for the year ended 31 December 2024 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

In light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we did not identify any material misstatements in the Strategic report and Directors' report.

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the Directors' responsibilities statement, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view. The directors are also responsible for such internal control as they determine is necessary to

Independent auditors' report to the members of Mercedes-Benz UK Limited (continued)

enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Based on our understanding of the company and industry, we identified that the principal risks of non-compliance with laws and regulations related to Health and Safety legislation, Employment legislation and the Zero-Emissions Vehicles (ZEV) government mandate, and we considered the extent to which non-compliance might have a material effect on the financial statements. We also considered those laws and regulations that have a direct impact on the financial statements such as UK tax legislation and the Companies Act 2006. We evaluated management's incentives and opportunities for fraudulent manipulation of the financial statements (including the risk of override of controls), and determined that the principal risks were related to journal entries posted with unusual account combinations as well as management bias in accounting estimates. Audit procedures performed by the engagement team included:

- Discussions with management, including considerations of known or suspected instances of non-compliance with laws and regulations and fraud;
- Reviewing meeting minutes with the Board and those charged with governance;
- Identifying and testing journal entries with unusual account combinations;
- Challenging assumptions and judgements made by management in determining their accounting estimates; and
- Incorporating elements of unpredictability in our audit approach.

There are inherent limitations in the audit procedures described above. We are less likely to become aware of instances of non-compliance with laws and regulations that are not closely related to events and transactions reflected in the financial statements. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditors' report.

Independent auditors' report to the members of Mercedes-Benz UK Limited (continued)

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Other required reporting

Companies Act 2006 exception reporting

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not obtained all the information and explanations we require for our audit; or
- adequate accounting records have not been kept by the company, or returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the financial statements are not in agreement with the accounting records and returns.

We have no exceptions to report arising from this responsibility.

Mark Foster (Senior Statutory Auditor)
for and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
Milton Keynes
30 September 2025

MERCEDES-BENZ UK LIMITED

INCOME STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2024

	Notes	2024 £ 000's	2023 £ 000's
Revenue	3	**4,838,754**	4,488,822
Cost of sales		**(4,469,024)**	(4,193,068)
Gross profit		**369,730**	295,754
Distribution costs		**(29,388)**	(29,739)
Administrative expenses		**(212,181)**	(193,662)
Other operating income		**870**	18,467
Operating profit	4	**129,031**	90,820
Investment income	8	**5,794**	4,464
Finance costs	9	**(33,161)**	(32,510)
Profit before taxation		**101,664**	62,774
Tax on profit	10	**(27,709)**	(18,249)
Profit for the financial year		**73,955**	44,525
Other comprehensive expense:			
Items that will not be reclassified to profit or loss			
Actuarial loss on defined benefit pension schemes	13	**(12,102)**	(2,802)
Tax related to actuarial loss on defined benefit pension scheme		**3,026**	701
Other comprehensive expense for the year, net of tax		**(9,076)**	(2,101)
Total comprehensive income for the year		**64,879**	42,424

The income statement has been prepared on the basis that all operations are continuing operations.

The accompanying notes form a part of these financial statements.

MERCEDES-BENZ UK LIMITED

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2024

	Notes	2024 £ 000's	2023 as restated £ 000's
Non-current assets			
Property, plant and equipment	11	**746,110**	464,257
Investments	12	**-**	-
Retirement benefit surplus	13	**80,627**	89,397
Other receivables	15	**117,385**	52,633
		944,122	606,287
Current assets			
Inventories	14	**959,040**	1,002,681
Trade and other receivables	15	**358,390**	539,067
Contract assets		**5,607**	3,177
		1,323,037	1,544,925
Current liabilities			
Contract liabilities	16	**136,372**	139,632
Trade and other payables	18	**940,172**	1,179,639
Taxation and social security	19	**142,135**	135,000
		1,218,679	1,454,271
Net current assets		**104,358**	90,654
Total assets less current liabilities		**1,048,480**	696,941
Non-current liabilities			
Contract liabilities	16	**34,628**	37,921
Trade and other payables	18	**307,936**	123,793
		342,564	161,714
Provisions for liabilities			
Deferred tax liabilities	20	**18,484**	17,955
Other provisions	21	**385,445**	280,164
		403,929	298,119
Net assets		**301,987**	237,108

MERCEDES-BENZ UK LIMITED

STATEMENT OF FINANCIAL POSITION (CONTINUED)

AS AT 31 DECEMBER 2024

	Notes	2024 £ 000's	2023 as restated £ 000's
Equity			
Called up share capital	**22**	**175,588**	175,588
Retained earnings	**24**	**126,399**	61,520
Total equity		**301,987**	237,108

The financial statements on pages 19 to 49 were approved by the Board of Directors on 30 September 2025 and are signed on its behalf by:

....
W Pippelger
Director
30.09.2025

Company Registration No. 02448457

The accompanying notes form part of these financial statements.

MERCEDES-BENZ UK LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2024

	Notes	Share capital £ 000's	Retained earnings £ 000's	Total £ 000's
Balance at 1 January 2023		50,000	208,995	258,995
Year ended 31 December 2023:				
Profit for the year		-	44,525	44,525
Other comprehensive expense:				
Actuarial gains on defined benefit plans		-	(2,802)	(2,802)
Tax relating to other comprehensive expense		-	701	701
Total comprehensive income for the year		-	42,424	42,424
Issue of share capital		125,588	-	125,588
Common control transactions		-	(189,899)	(189,899)
Balance at 31 December 2023		175,588	61,520	237,108
Year ended 31 December 2024:				
Profit for the year		-	73,955	73,955
Other comprehensive expense:				
Actuarial loss on defined benefit plans		-	(12,102)	(12,102)
Tax relating to other comprehensive expense		-	3,026	3,026
Total comprehensive income for the year		-	64,879	64,879
Common control transactions	**25**	-	-	-
Balance at 31 December 2024		**175,588**	**126,399**	**301,987**

The statement of changes in equity has been prepared on the basis that all operations are continuing operations.

The accompanying notes form a part of these financial statements.

1 Accounting policies

Company information

Mercedes-Benz UK Limited (the Company) is a private company limited by shares incorporated and domiciled in the UK. The registered office is Delaware Drive, Tongwell, Milton Keynes, England, MK15 8BA.

1.1 Accounting convention

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101"). In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of UK-adopted international accounting standards ("UK-adopted IFRS), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The financial statements have been prepared on the historical cost basis. The principal accounting policies adopted are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

The Company has taken advantage of the following disclosure exemptions under FRS 101:

- the requirements of IFRS 7 Financial Instruments: Disclosures;
- the requirements of paragraphs 91-99 of IFRS 13 Fair Value Measurement;
- the requirement in paragraph 38 of IAS 1 'Presentation of Financial Statements' to present comparative information in respect of: (i) paragraph 79(a) (iv) of IAS 1, (ii) paragraph 73(e) of IAS 16 Property Plant and Equipment;
- the requirements of paragraphs 10(d), 10(f), 16, 38A to 38D, 39 to 40 ,111 and 134-136 of IAS 1 Presentation of Financial Statements;
- the requirements of IAS 7 Statement of Cash Flows;
- the requirements of paragraphs 30 and 31 of IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors;
- the requirements of paragraphs 88C and 88D of IAS 12 Income Taxes;
- the requirements of paragraph 17 of IAS 24 Related Party Disclosures;
- the requirements in IAS 24 Related Party Disclosures to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member ; and
- the requirements of paragraphs 134(d)-134(f) and 135(c)-135(e) of IAS 36 Impairment of Assets.

As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to share based payments, financial instruments, capital management, presentation of a cash flow statement, presentation of comparative information in respect of certain assets, standards not yet effective, impairment of assets, business combinations, discontinued operations and related party transactions.

The company is a wholly owned subsidiary of Mercedes-Benz Holdings UK Limited and of its ultimate parent, Mercedes-Benz Group Aktiengesellschaft. It is included in the consolidated financial statements of Mercedes-Benz Group Aktiengesellschaft, which are publicly available. Therefore, the company is exempt, by virtue of section 400 of the Companies Act 2006, from the requirement to prepare consolidated financial statements. These financial statements are separate financial statements.

New standards, amendments, IFRIC interpretations and new relevant disclosure requirements

The company has applied the following standards and amendments for the first time for its annual reporting period commencing 1 January 2024:

- Classification of Liabilities as Current or Non-current and Non-current liabilities with covenants – Amendments to IAS 1,
- Lease Liability in Sale and Leaseback – Amendments to IFRS 16,
- Supplier Finance Arrangements – Amendments to IAS 7 and IFRS 7, and
- International Tax Reform – Pillar Two Model Rules – amendments to IAS 12.

The amendments listed above did not have any material impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

1 Accounting policies **(Continued)**

1.2 Prior period error

Previous accounting periods had treated the warranty balances for year one and two in a net position such that no balances were accounted for in the financial statements. This is as a result of the warranty for year one and year two being fully recoverable from the ultimate parent company. It has been determined that due to the nature of the underlying transactions an asset and liability should be recognised. This has been adjusted in the 2023 balances disclosed in these financial statements as follows:
Current Amounts Owed By Fellow Group Undertakings have been increased by £52,633k
Non-Current Amounts Owed By Fellow Group Undertakings have been increased by £101,398k
Provisions have been increased by £154,031k

1.3 Going concern

The financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

The Company is part of a wider group, whereby group companies use intercompany funding or cash pooling facilities, managed and made available by the ultimate parent company, Mercedes-Benz Group AG (MBGAG), and fellow subsidiary Mercedes-Benz International Finance B.V.

The Company meets its day to day working capital requirements from operational cash flows together with intercompany loans and trading balances with the Group headed by MBGAG. The Company is currently in a net current asset position and the balances owed to the Group contribute heavily to this position and as discussed below these will not be called upon to the detriment of the Company.

The directors have prepared cash flow forecasts and performed a going concern assessment which indicates that under both the base case and severe yet plausible downside scenarios, the Company will require funds, through funding from its ultimate parent company, MBGAG, and fellow subsidiary Mercedes-Benz International Finance B.V., to meet its liabilities as they fall due during the 12 month period ending December 2026, the going concern assessment period.

Under the base case scenario, future demand for new vehicles is expected to remain stable, whilst intercompany funding is gradually reduced to match cash flows. Under the severe yet plausible downside scenario, demand for new vehicles is notably reduced from the base case to model a softening market. Intercompany funding is made available for a longer period and at higher levels.

MBGAG has indicated its intention to continue to make available such funds as are needed by the Company, and that it does not intend to seek repayment of the amounts currently due to the Group, which at 31 December 2024 amounted to £243,731 thousand, during the going concern assessment period. As with any company placing reliance on other group entities for financial support, the directors acknowledge that there can be no certainty that this support will continue, although, at the date of the approval of these financial statements, they have no reason to believe it will not do so.

Consequently, the directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

1 Accounting policies **(Continued)**

1.4 Revenue

Revenue is measured at the fair value of the consideration received or receivable, and represents amounts receivable for goods supplied, stated net of discounts, returns and value added taxes.

The Company recognises revenue when performance obligations have been satisfied and for the Company this is when the goods or services have transferred to the customer and the customer has control of these. The Company's activities are described in detail below.

The Company sells its vehicles both directly to end customers and to a network of dealers.

Revenue on direct sales of both Cars and Vans to customers are recognised on delivery of the vehicle to the end customer.

Sales of Vans to dealers are recognised at the point a vehicle is allocated to the dealer and is available for onward sale in the United Kingdom. This reflects the detailed terms and conditions of sale of such vehicles and the related funding arrangements with another group company.

Some direct sales include an option or obligation for the customer to sell the vehicle back to the Company at a guaranteed price at a set point in the future. These sales are treated as operating leases with the associated revenue and cost being spread over the lifetime of the contract. The Company's continuing interest in these vehicles is recorded within fixed assets and a liability is recognised representing the deferral of revenue over the lease period and the future commitment to repurchase the vehicle.

Revenue is recognised on the sale of spare parts when the Company has passed the principal risks and rewards of ownership to the customer..This is generally considered to be at the point of dispatch. The amount of revenue recognised for spare parts is adjusted for expected returns, which are estimated based on the historical data for specific part types, adjusted as necessary to estimate returns for new models. The validity of the estimated amount of returns are reassessed at each reporting date. Therefore, a refund liability (included in trade and other payables) and a right to a refund on the returned goods (included in contract assets) are recognised for the products expected to be returned.

Revenue from repair and maintenance contracts represents the value of services provided under these contracts to the extent that there is a right to consideration and is recorded at the value of the consideration due. Where a contract has only been partially completed at the Balance Sheet date revenue represents the value of the service provided to date based on a proportion of the total contract value. Amounts invoiced not recognisable as revenue are recorded within Accruals and deferred income.

Revenue from contracts for the provision of professional services is recognised by reference to the stage of completion when the stage of completion, costs incurred and costs to complete can be estimated reliably. The stage of completion is calculated by comparing costs incurred, mainly in relation to contractual hourly staff rates and materials, as a proportion of total costs. Where the outcome cannot be estimated reliably, revenue is recognised only to the extent of the expenses recognised that are recoverable.

1 Accounting policies **(Continued)**

1.5 Property, plant and equipment

Property, plant and equipment are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Land	Not depreciated
Freehold buildings	4%
Motor vehicles	Straight line over remaining life of lease term
Right of use asset	Straight line over remaining life of lease term
Leasehold improvements	
Leases over 25 years	4%
Leases under 25 years	Straight line over remaining life of lease term

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the income statement.

1.6 Investments in subsidiaries are measured at cost less accumulated impairment

Interests in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.7 Inventories

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each reporting date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in profit or loss.

Net realisable value is the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

1 Accounting policies **(Continued)**

1.8 Fair value measurement

IFRS 13 establishes a single source of guidance for all fair value measurements. IFRS 13 does not change when an entity is required to use fair value, but rather provides guidance on how to measure fair value under IFRS when fair value is required or permitted. The Company is exempt under FRS 101 from the disclosure requirements of IFRS 13.

1.9 Loans and receivables

Trade receivables, loans and other receivables that have fixed or determinable payments that are not quoted in an active market are classified as loans and receivables. Loans and receivables are measured at amortised cost using the effective interest method, less any impairment.

Interest is recognised by applying the effective interest rate, except for short-term receivables when the recognition of interest would be immaterial. The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating the interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the debt instrument to the net carrying amount on initial recognition.

Expected credit losses

Financial assets, other than those at FVTPL (fair value through profit and loss), are assessed for indicators of impairment at each reporting end date.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of a financial instrument.

12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Company is exposed to credit risk.

Measurement of Expected credit losses

Expected credit losses are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive). Expected credit losses are discounted at the effective interest rate of the financial asset.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership to another entity.

1 Accounting policies **(Continued)**

1.10 Financial liabilities

Creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers.

Creditors are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Other financial liabilities, including borrowings, are initially measured at fair value, net of transaction costs. They are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability to the net carrying amount on initial recognition.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the Company's obligations are discharged, cancelled, or they expire.

1.11 *Equity instruments*

Equity instruments issued by the Company are recorded at the proceeds received, net of direct issue costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the Company.

1.12 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

1 Accounting policies **(Continued)**

Deferred tax

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit, and is accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the income statement, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the Company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

The Company applies the exception rule according to IAS 12, which stipulates that no deferred tax assets and liabilities are accounted for in connection with the income taxes of the second pillar ("Pillar 2") of the OECD.

1.13 Provisions

Provisions are recognised when the Company has a legal or constructive present obligation as a result of a past event and it is probable that the Company will be required to settle that obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting end date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

Buyback agreements

Where there is an option or obligation for the customer to sell the vehicle back to the Company at a guaranteed price at a set point in the future, consideration will be made as to whether a provision is required. A buyback provision is considered necessary where the agreed repurchase price is no longer representative of the market value of those vehicles such that expected losses are likely to be incurred. Further details can be found in note 21.

1.14 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of inventories or non-current assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the Company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1 Accounting policies **(Continued)**

1.15 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

The cost of providing benefits under defined benefit plans is determined separately for each plan using the projected unit credit method, and is based on actuarial advice.

Defined benefit plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit pension plan is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value, and the fair value of any plan assets (at bid price) are deducted. The Company determines the net interest on the net defined benefit asset for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the net defined benefit asset.

The discount rate is the yield at the reporting date on bonds that have a credit rating of at least AA that have maturity dates approximating the terms of the Company's obligations and that are denominated in the currency in which the benefits are expected to be paid.

Remeasurements arising from defined benefit plans comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest). The Company recognises them immediately in other comprehensive income and all other expenses related to defined benefit plans in employee benefit expenses in profit or loss.

When the benefits of a plan are changed, or when a plan is curtailed, the portion of the changed benefit related to past service by employees, or the gain or loss on curtailment, is recognised immediately in profit or loss when the plan amendment or curtailment occurs. The Company then calculates the current service cost for the remainder of the reporting period, post the amendment or curtailment, using the same actuarial assumptions as those used to remeasure the net defined benefit asset.

The calculation of the defined benefit obligations is performed by a qualified actuary using the projected unit credit method. When the calculation results in a benefit to the Company, the recognised asset is limited to the present value of benefits available in the form of any future refunds from the plan or reductions in future contributions and takes into account the adverse effect of any minimum funding requirements.

The Company recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs. The gain or loss on a settlement is the difference between the present value of the defined benefit obligation being settled as determined on the date of settlement and the settlement price, including any plan assets transferred and any payments made directly by the Company in connection with the settlement, ignoring the effect of the asset ceiling that is reversed separately through OCI.

The Company's employees are members of a group wide defined benefit pension plan, The Company is the sponsoring employer of a group wide defined benefit pension plan. The net defined benefit cost of the plan is charged to participating entities on the following basis: number of active members. There are no further contributions payable as the scheme was closed in 2021.

1 Accounting policies **(Continued)**

Short-term benefits
Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Termination benefits
Termination benefits are recognised as an expense when the Company is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Company has made an offer of voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

The net interest element is determined by multiplying the net defined benefit liability by the discount rate, taking into account any changes in the net defined benefit liability during the period as a result of contribution and benefit payments. The net interest is recognised in profit or loss as other finance revenue or cost.

Remeasurement changes comprise actuarial gains and losses, the effect of the asset ceiling and the return on the net defined benefit liability excluding amounts included in net interest. These are recognised immediately in other comprehensive income in the period in which they occur and are not reclassified to profit and loss in subsequent periods.

The net defined benefit pension asset or liability in the balance sheet comprises the total for each plan of the present value of the defined benefit obligation (using a discount rate based on high quality corporate bonds), less the fair value of plan assets out of which the obligations are to be settled directly. Fair value is based on market price information, and in the case of quoted securities is the published bid price. The value of a net pension benefit asset is limited to the amount that may be recovered either through reduced contributions or agreed refunds from the scheme.

1.16 Business Combination

The Company's business combinations are transfers of assets and liabilities from entities that are ultimately under the control of Mercedes-Benz AG. Assets and liabilities acquired in these transactions are recognised at the carrying amounts recognised previously in the transferor's financial statements. Any consideration paid in excess of the carrying amounts is recognised directly in retained earnings.

1 Accounting policies **(Continued)**

1.17 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the fair value of the assets at the date of inception and the present value of the minimum lease payments. The related liability is included in the statement of financial position as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

A lease is identified as a contract, or a part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration.

Under IFRS16 Leases, the Company recognises a right of use asset and a lease liability in the Statement of Financial Position for all operating leases. The right of use asset is initially measured at cost, comprising of the initial amount of the lease adjusted for any accruals/prepayments made before the commencement date.

The right of use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, as this is expected to be less than the useful life of the asset. The estimated useful life is determined on the same basis as property plant and equipment.

The lease liability is initially measured at present value of the lease payments that are not paid at commencement date, discounted using the incremental borrowing rate. Lease payments relate to rental payments.

The lease liability is measured at amortised cost using the effective interest method. It will be re-measured if the Company elects to change it's stance on early termination.

The incremental borrowing rate is determined based on a combination of calculated risk-free interest rates and risk premiums, combined to give an incremental borrowing cost. There is then a duration adjustment to align more closely with the cash flow pattern of an annuity.

A short-term lease is any lease agreement of 12 months or less. There is no requirement to recognise a right of use asset or liability for a short-term lease. The Company has one short-term lease, the treatment of which is to recognise the consideration for rental payments as an expense through Profit and Loss.

If a significant event or change in circumstances that affects the lease term or the lease payments occurs, that is within the control of the Company, then the present value of the lease liability is re-measured using the revised terms and payments. The right of use asset is also adjusted based off the revised payment schedule. Any gain or loss recognised is then recognised through profit and loss.

As a lessor

As noted in the revenue accounting policy some sales include an option or obligation for the customer to sell the vehicle back to the Company at a guaranteed price at a set point in time. Where this is considered to therefore result in a lease transaction the Company determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Company considers certain indicators such as whether the lease term covers the majority of the economic life of the asset.

The treatment of these leases as operating leases has been disclosed in the revenue accounting policy.

2 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Critical judgements

Leasing obligations

In preparing these statutory financial statements, a critical judgment has been made regarding the estimation of leasing in relation to the existence of significant economic incentives at contract inception and therefore whether transactions should be accounted for as a vehicle sale or a lease. This judgment is pivotal as it directly impacts the recognition of lease income and the valuation of leased assets.

Key Considerations:

- Market Conditions: The current economic climate and market trends have been thoroughly analysed to forecast the expected return rates. Factors such as interest rates, inflation, and consumer demand play a significant role in shaping these estimates.
- Historical Data: Historical return rates have been reviewed to identify patterns and anomalies. This data provides a baseline for predicting future returns, although adjustments are made to account for any significant deviations or unprecedented events.
- Asset Residual Values: The residual values of leased assets at the end of the lease term are estimated based on their condition, market demand, and technological advancements. These values are crucial for determining the profitability of leasing arrangements.
- Customer Behaviour: Customer behaviour and preferences, including the likelihood of lease renewals and early terminations, are factored into the return rate calculations. This involves assessing credit risk and customer satisfaction levels.
- Regulatory Changes: Any recent or upcoming changes in leasing regulations are considered to ensure compliance and to anticipate their impact on return rates.

The judgment on leasing return rates is made with a high degree of caution and rigor, incorporating both quantitative data and qualitative insights. While uncertainties remain, this approach aims to provide a realistic and prudent estimation that aligns with the company's financial reporting standards and strategic objectives.

Key sources of estimation uncertainty

Pensions and similar obligations

The calculation of provisions for pensions and similar obligations and the related pension cost are based on various actuarial valuations. The calculations are subject to various assumptions on matters such as current actuarially developed probabilities (e.g. discount factors and cost-of-living increases), future fluctuations with regard to age and period of service, and experience with the probability of occurrence of pension payments, annuities or lump sums. As a result of changed market or economic conditions, the probabilities on which the influencing factors are based, may differ from current developments. The financial effects of deviations of the main factors are calculated with the use of sensitivity analyses. See Note 13 for further information.

3 Revenue

The Company derives all of its revenue and profit before taxation from its main trading activity. No material sales are made outside of the United Kingdom.

Revenue recognised in the financial year on sales of vehicles with options or obligations to sell back to the Company at a set point in the future amounted to £66,809k (2023: £49,026k).

	2024 £ 000's	2023 £ 000's
Revenue analysed by class of business		
Revenue from the sale of goods	**4,656,935**	4,289,826
Revenue from services	**181,819**	198,997
	4,838,754	4,488,823

	2024 £ 000's	2023 £ 000's
Timing of transfer of goods and services		
Products and services transferred at a point in time	**4,717,121**	4,363,478
Products and services transferred over time	**121,633**	125,345
	4,838,754	4,488,823

4 Operating profit

	2024 £ 000's	2023 £ 000's
Operating profit for the year is stated after charging:		
Depreciation of property, plant and equipment	**73,828**	46,459
Loss on disposal of tangible assets	**2,605**	-

5 Auditor's remuneration

	2024 £ 000's	2023 £ 000's
Fees payable to the Company's auditor and associates:		
For audit services		
Audit of the financial statements of the Company	**407**	479
	407	479

6 Employees

The average monthly number of persons (including directors) employed by the Company during the year was:

	2024 Number	2023 Number
Administration staff	**715**	521
Management staff	**53**	49
	768	570

Their aggregate remuneration comprised:

	2024 £ 000's	2023 £ 000's
Wages & salaries	**44,371**	34,970
Social security costs	**4,309**	4,168
Other pension costs	**3,341**	3,098
	52,021	42,236

7 Directors' remuneration

	2024 £ 000's	2023 £ 000's
Directors' emoluments	**1,530**	1,523
Cash received under long term incentive schemes	**420**	443
	1,950	1,966

During the year 2024, 1 director, including the highest paid director (2023: 1 director, including the highest paid director) received monetary amounts under long-term incentive schemes totalling £420k (2023: £443k).

During the year 2024, benefits were accruing to no directors (2023: 0 directors) in respect of defined contribution or defined benefit pension schemes totalling £nil (2023: £nil).

Remuneration disclosed above include the following amounts paid to the highest paid director:	2024 £ 000's	2023 £ 000's
Remuneration	**623**	789
Cash received under long term incentive schemes	**420**	443
	1,043	1,232

One director who held office in the year received no emoluments in respect of their services to the Company (2023: £nil) as these services were incidental to their other responsibilities within the Mercedes-Benz AG group.

8 Investment income

	2024 £ 000's	2023 £ 000's
Interest income		
Interest on retirement benefit surplus	**4,182**	4,163
Interest receivable from group companies	**1,612**	301
Total income	**5,794**	4,464

9 Finance costs

	2024 £ 000's	2023 £ 000's
Interest payable to group undertakings	**20,499**	28,438
Other finance costs	**12,662**	4,072
Total finance costs	**33,161**	32,510

10 Tax on profit

	2024 £ 000's	2023 £ 000's
Current tax		
UK corporation tax on profits for the year	**26,439**	11,679
Adjustments in respect of prior periods	**(2,285)**	2,182
Total current tax	**24,154**	13,861
Deferred tax		
Origination and reversal of temporary differences	**28**	4,388
Adjustment in respect of prior periods	**3,527**	-
Total deferred tax	**3,555**	4,388
Total tax charge	**27,709**	18,249

The tax charge in 2024 has been calculated using a tax rate of 25% however in 2023 it was calculated using 19% until 31 March and 25% with effect from 1 April.

Factors that may affect future tax charges

Deferred tax assets and liabilities at the reporting date were calculated at 25% (2023: 25%).

10 Tax on profit **(Continued)**

The charge for the year can be reconciled to the profit per the income statement as follows:

	2024	2023
	£ 000's	£ 000's
Profit before taxation	**101,664**	62,774
Expected tax charge based on a corporation tax rate of 25% (2023: 23.5%)	**25,416**	14,752
Effect of expenses not deductible in determining taxable profit	**30**	1,116
Adjustment in respect of prior years	**1,242**	2,182
Capital allowances in excess of depreciation	**-**	148
Other permanent differences	**911**	-
Loss on disposal of fixed assets	**110**	51
Taxation charge for the year	**27,709**	18,249

In addition to the amount charged to the income statement, the following amounts relating to tax have been recognised directly in other comprehensive expense:

	2024	2023
	£ 000's	£ 000's
Deferred tax arising on:		
Actuarial differences recognised as other comprehensive expense	**(3,026)**	(701)

11 Property, plant and equipment

	Freehold land and buildings	Leasehold improve ments	Leases under 25 years	Motor vehicles	Right of use assets	Total
	£ 000's	£ 000's	£ 000's	£ 000's	£ 000's	£ 000's
Cost						
At 01 January 2024	78,756	9,911	31,947	428,342	18,587	567,543
Additions	2,285	-	3,965	664,010	-	670,260
Disposals	(2,368)	(3,152)	(3,571)	(366,276)	-	(375,367)
Assets acquired in common control transaction	778	-	1,401	-	-	2,179
Transfers	2,761	-	-	-	-	2,761
At 31 December 2024	**82,212**	**6,759**	**33,742**	**726,076**	**18,587**	**867,376**
Accumulated depreciation and impairment						
At 01 January 2024	27,328	4,310	17,046	44,904	9,698	103,286
Charge for the year	3,223	384	2,851	65,430	1,940	73,828
Eliminated on disposal	(1,460)	(1,578)	(3,129)	(49,681)	-	(55,848)
At 31 December 2024	**29,091**	**3,116**	**16,768**	**60,653**	**11,638**	**121,266**
Carrying amount						
At 31 December 2024	**53,121**	**3,643**	**16,974**	**665,423**	**6,949**	**746,110**
At 01 January 2024	51,428	5,601	14,901	383,438	8,889	464,257

12 Investments in subsidiaries

The Company's investments in subsidiaries have a carrying value of £nil (2023: £nil).

Details of the Company's subsidiaries at 31 December 2024 and 31 December 2023 are as follows:

Name of undertaking	Registered office	Ownership interest (%)	Voting power held (%)	Nature of business
Mercedes-Benz UK Trustees Limited	Delaware Drive, Tongwell, Milton Keynes, England, MK15 8BA	100	100	Pension funding
Mercedes-Benz Brooklands Limited	Delaware Drive, Tongwell, Milton Keynes, England, MK15 8BA	100	100	Property management

13 Retirement benefit schemes

Defined contribution schemes

The Company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the Company in an independently administered fund.

The total costs charged to the profit and loss in respect of defined contribution plans is £2,491k (2023: £2,122k). There are no outstanding contributions at the statement of financial position date (2023: £nil).

Defined benefit scheme

The Company operates a defined benefit scheme for qualifying employees. The scheme included Mercedes-Benz Parts Logistics UK Limited & Mercedes-Benz Retail Group UK Limited as participating employers with the Company being the "principal employer" of the scheme. The assets and liabilities are distributed between the entities with agreed allocations set by the qualified actuary.

On 31 March 2023, Mercedes-Benz Retail Group UK Limited demerged from the defined benefit pension scheme operated by Mercedes-Benz UK Limited at which point the assets and liabilities allocated to Mercedes-Benz Retail Group UK Limited were reallocated to the Company.

On 31 December 2023, Mercedes-Benz Parts Logistics Limited demerged from the defined benefit pension scheme operated by Mercedes-Benz UK Limited at which point the assets and liabilities allocated to Mercedes-Benz Parts Logistics Limited were reallocated to the Company.

The impact of the reallocations during the prior year have been included within the income statement.

Under the schemes, the employees are entitled to retirement benefits linked to final salary on reaching retirement age. No other post-retirement benefits are provided.

The schemes are funded multi-employer schemes for which the Company is considered to be the Sponsoring Employer. The assets of the schemes are held separately from those of the Company and a qualified actuary, on the basis of annual valuations using the projected unit method, determines contributions to the scheme. The contribution paid by the employer is affected by the existence of any surplus or deficit in the scheme. The contribution payable and charged to the profit and loss account of the participating companies for the year 2024 was £nil (2023: £nil), of which £nil (2023: £nil) was payable by the Company.

The scheme closed for additional contributions at the start of 2021, so the only contribution payable in the current and future financial years will be to cover the administration fees of the scheme.

As the scheme is closed for future accrual the maturity profile of the pension is dependent on when the assets will mature which is based on the retirement ages outlined in the assumptions.

The most recent actuarial valuations of plan assets and the present value of the defined benefit obligation were carried out at 31 December 2024 by Mercer Limited, qualified actuaries. The present value of the defined benefit obligation, the related current service cost and past service cost were measured using the projected unit credit method.

13 Retirement benefit schemes **(Continued)**

Key assumptions	**2024 %**	**2023 %**
Discount rate	**5.60**	4.70
RPI inflation	**3.10**	3.00
CPI inflation	**2.70**	2.50
Salary increases	**3.35**	3.25
Pre 1997 pension increases	**2.00**	1.90
1997-2006 pension increases	**2.90**	2.80
Post 2006 pension increases	**2.00**	1.90

Mortality assumptions	**2024**	**2023**
Assumed life expectations on retirement at age 65:	**Years**	**Years**
Retiring today		
- Males	**22.0**	22.1
- Females	**24.3**	24.3
Retiring in 20 years:		
- Males	**23.6**	23.6
- Females	**26.0**	26.0

	2024 Years	**2023 Years**
Average weighted duration of obligations	**13**	14

Amounts recognised in the income statement	**2024 £000's**	**2023 £000's**
Current service cost	**850**	975
Net interest on defined benefit liability/asset	**(4,182)**	(4,163)
Net impact of change in employer on demerger	**-**	16,042
Total (income)/costs	**(3,332)**	12,854

Amounts recognised in other comprehensive expense

Actuarial changes arising from changes in financial assumptions	**(25,882)**	10,281
Actuarial changes related to plan assets	**37,984**	(7,479)
Total costs	**12,102**	2,802

13 Retirement benefit schemes **(Continued)**

The amounts included in the statement of financial position arising from the Company's obligations in respect of defined benefit plans are as follows:

	2024 £000's	2023 £000's
Fair value of plan assets	**329,852**	366,199
Present value of defined benefit obligations	**(249,225)**	(276,802)
Surplus in scheme	**80,627**	89,397

Movements in the present value of defined benefit obligations:

	2024	2023
At the beginning of the year	**276,802**	218,493
Current service cost	**850**	975
Benefits paid	**(15,222)**	13,670
Actuarial gains and losses	**(25,882)**	10,281
Interest cost	**12,677**	12,151
Impact of change in employer on demerger	**-**	48,572
At the end of the year	**249,225**	276,802

Movements in the fair value of plan assets:

	2024	2023
At the beginning of the year	**366,199**	291,462
Interest income	**16,859**	16,314
Return on plan assets (excluding amounts included in net interest)	**(37,984)**	7,479
Benefits paid	**15222**	(13,670)
Impact of change in employer on demerger	**-**	64,614
At end of year	**329,852**	366,199

13 Retirement benefit schemes **(Continued)**

Sensitivity of the defined benefit obligations to changes in assumptions

Whilst the Company considers the methodologies and assumptions adopted in the fair value measurements and sensitivity analysis as supportable, reasonable and robust, because of the inherent uncertainty of valuation, those estimated values may differ significantly, due to market volatility from the values that would have been used, had a ready market for the balances existed and the differences could be significant.

Scheme obligations would have been affected by changes in assumptions as follows:

		2024	2023
		£ 000's	£ 000's
Discount rate +/- 25 basis points	- increase	**241,365**	267,363
	- decrease	**257,449**	286,711
Price inflation rate +/- 10 basis points	- increase	**252,834**	280,815
	- decrease	**245,687**	272,789
Life expectancy +/- 1 year	- increase	**243,720**	270,151
	- decrease	**254,618**	283,380

The above sensitivity analyses are based on a change in an assumption, while holding all other assumptions constant. Except for the inflation assumption which will also impact the salary increases, increase in pension payments and increase in pension deferment as these are all set by reference to the undelying inflation assumption. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions, the same method (that is, present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension asset recognised within the statement of financial position.

The methods and types of assumption used in preparing the sensitivity analysis did not change compared to the previous period.

The fair value of plan assets at the reporting year end was as follows:

	2024	2023
	£ 000's	£ 000's
Equity instruments	**29,990**	39,742
Debt instruments	**283,150**	313,550
Other	**16,712**	12,907
	329,852	366,199

100% of Equity Instruments have quoted prices in active markets. Debt Instruments are 94% quoted and 6% unquoted. Others are 1% quoted and 99% unquoted.

14 Inventories

	2024 £ 000's	2023 £ 000's
Finished goods and goods for resale	**959,040**	1,002,681

The reversal of write-down of stocks to net realisable value amounted to £54m (2023: £90.6m write-down). Write-downs and reversals are included in cost of sales. Reversals are due to movements in volumes and cost prices.

The value of stock recognised in cost of sales in the year was £3.713m (2023: £3.672m).

15 Trade and other receivables

	Current		Non-current	
	2024 £ 000's	2023 as restated £ 000's	2024 £ 000's	2023 as restated £ 000's
Trade receivables	**197,070**	284,772	**-**	-
Amounts owed by fellow group undertakings	**95,950**	181,876	**117,385**	52,633
Prepayments	**65,370**	72,419	**-**	-
	358,390	539,067	**117,385**	52,633

Amounts owed by fellow group undertakings includes receivables for future warranty costs (recognised in provisions) recoverable from the companies ultimate parent company, which were restated. See note 1.2 for further information.

16 Contract liabilities

	Current		Non-current	
	2024 £ 000's	2023 £ 000's	2024 £ 000's	2023 £ 000's
Service contract advance payments	**57,237**	42,967	**32,149**	35,339
Dealer discounts and bonuses	**70,986**	90,640	**-**	-
Connectivity service advance payment	**1,070**	1,379	**2,479**	2,582
Parts with a right to return	**7,079**	4,646	**-**	-
	136,372	139,632	**34,628**	37,921

17 Leases

	Head Office
Right of use assets	£ 000's
Balance as at 1 January 2024	8,888
Depreciation charge for the year	(1,940)
Balance as at 31 December 2024	**6,948**

Lease liabilities as at 31 December 2024	
Current	1,966
Non-Current	5,322
	7,288

Amounts recognised in Profit and Loss	
Interest expense on lease liabilities	226
Depreciation charged on the Right of Use asset	1,940
	2,166

The total cash outflow for leases was £2,150k (2023: £2,150k).

18 Trade and other payables

	Current		Non-current	
	2024	**2023**	**2024**	**2023**
	£ 000's	**£ 000's**	**£ 000's**	**£ 000's**
Trade payables	**34,992**	97,073	-	-
Amounts due to group undertakings	**347,665**	654,774	-	-
Accruals and deferred income	**183,375**	153,714	**77,315**	26,495
Liabilities for buyback agreements	**335,065**	238,470	**224,851**	88,951
Other payables	**39,075**	35,608	**5,770**	8,347
	940,172	1,179,639	**307,936**	123,793

19 Taxation and social security

	2024	**2023**
	£ 000's	**£ 000's**
Corporation Tax	**36,670**	35,670
VAT	**105,465**	99,330
Total	**142,135**	135,000

20 Deferred tax liabilities

The following are the major deferred tax liabilities and assets recognised by the Company and movements thereon during the current and prior reporting year.

	Deferred taxation £ 000's
Deferred tax liability at 1 January 2023	(13,770)
Deferred tax movements in prior year:	
Credit to other comprehensive expense - Pension	701
Acquired in common control transaction	(498)
Debit to profit of loss - Other	(377)
Debit to profit or loss - Pension	(4,011)
Deferred tax liability at 1 January 2024	**(17,955)**
Thereof;	
Pension	(18,822)
Other	867
	(17,955)
Deferred tax movements in current year:	
Credit to other comprehensive expense - Pension	**3,026**
Debit to profit or loss - Pension	**(4,361)**
Credit to profit or loss - Other	**806**
Deferred tax liability at 31 December 2024	**(18,484)**
Thereof;	
Pension	**(20,157)**
Other	**1,673**
	(18,484)

21 Provisions for liabilities

	Buyback provision	Provision for warranty	Provision for repair & maintenance contracts	Other provisions	Total
		as restated			
	£ 000's	£ 000's	£ 000's	£ 000's	£ 000's
At 1 January 2024	65,950	197,317	5,771	11,125	280,164
Additional provisions in the year	79,723	185,693	6,352	7,410	279,178
Released in the year	(14,460)	-	(2,837)	-	(17,297)
Utilisation of provision	(9,237)	(137,832)	(2,764)	(542)	(150,375)
Effect of discounting	(3,648)	(2,576)	-	-	(6,224)
At 31 December 2024	118,328	242,602	6,522	17,993	385,445

The buyback provision represents the expected losses to be incurred on vehicles for which we have a buyback agreement and the agreed repurchase price is no longer representative of the market value of those vehicles. The provision is utilised in line with the relevant contract end dates and is calculated using the current market value of the vehicles. The model is a backward looking tool that forecasts future values based on historical trends and provides a future sales value which cannot be manipulated. The only manually amended items would be in respect of a valuation/market conditions of an expected future event that the tool would have no historical data to predict.

Provision for warranty represents the cost of fulfilling the three year warranty offered to all customers on the purchase of a new vehicle, where the manufacturer covers the first two years and the Company covers the third due to market expectations. The provision is calculated using past claim data and the three-year vehicle parc to assess our future obligations and is utilised as valid claims are paid.

Provision for repair and maintenance contracts represents the losses expected to be made on some service contracts where costs have been incurred which won't be fully covered by the sale of the contract itself. The provision is calculated using standard cost curves to create an expectation of remaining costs to the business on an individual contract level, and is utilised in line with those losses being incurred.

Other provisions related to two topics, VAT & benefit in kind owed to HMRC where the Company is in communication in an attempt to resolve the matter, calculated on their most recent estimates of amounts due. Secondly service measures where corrective modifications customer vehicles may be required, calculated based on an estimate of costs and affected vehicle numbers.

22	Share capital	2024 £ 000's	2023 £ 000's
	Ordinary share capital		
	Authorised		
	Allotted, called up, and fully paid		
	175,588,000 ordinary shares of £1 each	**175,588**	175,588
		175,588	175,588

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

None of the ordinary shares carry any special rights with regard to control of the Company or distributions made by the Company. There are no known agreements relating to, or restriction on, voting rights attached to the ordinary shares.

There are no restrictions on the transfer of shares, and there is no requirement to obtain approval for a share transfer.

There are no known arrangements under which financial rights are held by a person other than the holder of the ordinary shares. There are no known limitations on the holding of the shares.

23 Contingent liabilities

Consumer class actions were filed against the Company, further Mercedes Group companies in the UK, Mercedes-Benz Group AG and Mercedes-Benz AG (collectively 'the Defendants') in the United Kingdom since May 2020.

With regard to the Company and the further Mercedes-Benz Group companies in the UK, the plaintiffs assert inter alia breach of contract and breach of consumer regulations based on their claim, that the Mercedes-Benz Group had used devices that impermissibly impair the effectiveness of emission control systems in reducing nitrogen oxide (NOX) emissions and which cause excessive emissions from vehicles with diesel engines. Furthermore, they claim that the Mercedes-Benz Group deceived consumers in connection with advertising in relation of Mercedes-Benz diesel vehicles. The proceedings in England and Wales consist of several individual lawsuits that have been consolidated into one class action. A class action lawsuit is also ongoing in Scotland. In these proceedings, allegedly injured parties must actively register for the enforcement of claims (opt-in). The plaintiffs in the consumer class action in England and Wales also allege, amongst others, anti-competitive behaviour relating to technology for the treatment of diesel exhaust emissions. In addition the Directors are aware of a potential additional case linked to the outcome of the consumer class action.

The Directors consider that in the event that the plaintiffs are successful and damages are awarded that these would be met by Mercedes-Benz AG. Accordingly this matter is regarded as a contingent liability in these financial statements.

The Directors understand that if such legal proceedings have an unfavourable outcome, Mercedes-Benz AG may encounter substantial financial burdens.

With respect to the legal proceedings described above, no further information is disclosed, so as not to prejudice the position of the Company, and other defendants.

In addition, the ongoing legal proceedings involving Virgin Media's defined benefit pension schemes have raised concerns across the industry. These proceedings could have significant implications for other entities with similar pension arrangements, including the Company. While the Company is not directly involved in the Virgin Media case, the potential regulatory and legal precedents set by this case may affect our defined benefit pension schemes. This contingent liability arises from the possibility of increased scrutiny and changes in pension regulations that could impact our financial obligations. At this stage, the contingent liability related to the impact of the Virgin Media case cannot be quantified with certainty. The Company will continue to monitor the situation closely and provide updates as more information becomes available. Any material developments will be disclosed in future financial statements in accordance with relevant accounting standards.

24 Retained Earnings

This reserve represents cumulative profit and loss net of distribution to owners.

25 Common control transactions

In 2022, the Company agreed to purchase the trade and assets of a fellow group subsidiary under common control.

On 1 January 2024, the Company completed the business transfer agreement with Mercedes-Benz Parts Logistics Limited, a fellow Mercedes-Benz Group AG subsidiary company. With an effective date 1 January 2024 the Company acquired net assets measured at the transferors' book value of £17,432k for a consideration of £17,432k.